

Meridian Coffee Roasters
2024 Annual Summary

1. Overview

Meridian Coffee Roasters is a specialty coffee company founded in 2016 in Portland, Oregon. The company roasts, packages and distributes single-origin and blended coffees to independent cafes and to direct-to-consumer subscribers across North America.

As of 31 December 2024 Meridian employed 84 people, of whom 51 worked in production and logistics, 19 in retail and customer support, and 14 in corporate functions. The company operates two roasting facilities: the original site in Portland, Oregon, and a second facility in Sacramento, California, which opened in June 2023.

2. Product Lines

Meridian sells through three product lines.

(a) Origin Series - single-origin beans sourced from individual farms in Ethiopia, Colombia and Guatemala. Roasted in small 12 kg batches and sold in 250 g bags. Origin Series accounted for 41 percent of 2024 revenue.

(b) Daily Blend - a year-round house blend sold in 340 g and 900 g bags. This is the volume product and the entry point for most new customers. Daily Blend accounted for 47 percent of 2024 revenue.

(c) Cold Brew Concentrate - a ready-to-dilute liquid concentrate in 1 litre bottles, launched in March 2024. It accounted for 12 percent of 2024 revenue despite being on sale for only ten months of the year.

A fourth line, single-serve compostable pods, was evaluated during 2024 and shelved. The pilot did not reach the margin threshold set by the board.

3. Sourcing and Supply Chain

All green coffee is bought on direct-trade contracts negotiated annually with producers. The average price paid to producers in 2024 was 3.15 US dollars per pound, roughly 68 percent above the C-market benchmark over the same period. Meridian publishes the price paid for every lot on its website.

Green coffee arrives at the Port of Oakland and is trucked to a bonded warehouse in Sacramento. Average time from landing to roast was 34 days in 2024, down from 41 days in 2023. The company holds roughly eleven weeks of green inventory.

Meridian works with 23 producer partners across seven countries. The three largest, all in Colombia, together supplied 38 percent of 2024 green volume, which the board has flagged as a concentration risk.

4. Roasting Operations

The Portland facility runs two 35 kg drum roasters and one 12 kg sample roaster. Sacramento runs a single 70 kg roaster commissioned in June 2023 and reached full utilisation in the third quarter of 2024.

Combined 2024 roasted volume was 640 metric tonnes, up from 495 tonnes in 2023. Roast loss averaged 15.8 percent. Batch-level roast profiles are logged and retained for three years to support quality investigations.

Quality control cups every production batch. In 2024, 1.9 percent of batches were rejected and redirected to the discount channel, compared with 2.6 percent in 2023.

5. Financial Results

Total revenue for 2024 was 18.4 million US dollars, up 22 percent from 15.1 million in 2023. Gross margin improved from 38 percent to 41 percent, driven mainly by the higher-margin Cold Brew Concentrate line and by better utilisation of the Sacramento facility.

Operating expenses were 6.9 million dollars, of which 2.4 million was payroll outside production, 1.1 million was marketing, and 0.8 million was rent.

Net income was 612,000 dollars. This was the company's first profitable year.

Cash at year end was 2.3 million dollars against 1.4 million of debt, all of it the equipment loan taken out for the Sacramento roaster. That loan carries a 6.2 percent fixed rate and matures in 2028.

Revenue by channel:

Direct-to-consumer subscriptions	7.9 million
Wholesale to cafes	6.6 million
Retail (two Portland storefronts)	2.4 million
Discount and seconds channel	1.5 million

Wholesale grew slowest at 9 percent year over year. Management attributes this to cafe closures in the Pacific Northwest during the first half of the year.

6. Subscriptions

The direct-to-consumer subscription programme reached 21,300 active subscribers in December 2024, up from 14,900 a year earlier. Monthly churn averaged 4.1 percent across the year, improving to 3.6 percent in the fourth quarter.

The average subscriber ordered 1.6 bags per month at an average order value of 21.40 dollars. Customer acquisition cost was 38 dollars, giving a payback period of roughly four months at current margins.

Subscribers on the annual prepay plan, introduced in February 2024, churn at 1.2 percent monthly - roughly a third of the monthly-plan rate. Annual prepay accounted for 18 percent of subscribers at year end.

7. Retail

The two Portland storefronts generated 2.4 million dollars, up 6 percent. The Hawthorne location outperformed the Pearl District location by a factor of 1.8 on revenue per square foot. A third storefront was considered and deferred to 2026.

Retail also serves as the primary channel for new subscriber acquisition: 31 percent of 2024 subscription signups originated from an in-store promotion code.

8. Sustainability

Both facilities ran on 100 percent renewable electricity from January 2024, purchased through the local utility's green tariff rather than through offsets.

Packaging moved to a compostable multilayer film in August 2024, removing an estimated 31 tonnes of plastic per year. The transition raised packaging cost per bag by 4.1 cents, absorbed rather than passed to customers.

Roasting itself remains gas-fired. Direct roasting emissions were an estimated 310 tonnes CO₂e in 2024. The company has committed to evaluating electric roasters during 2025 but has not budgeted for replacement.

9. Outlook for 2025

Management expects revenue between 21 and 23 million dollars. The main planned investments are a third roasting facility in Denver, Colorado, and an expansion of the Cold Brew Concentrate line into two additional flavours.

10. Principal Risks

Green coffee price volatility is the principal risk, since direct-trade contracts are renegotiated each year and the company does not hedge on the futures market.

Secondary risks are supplier concentration in Colombia, dependence on a single bonded warehouse in Sacramento, and the fact that 47 percent of revenue rests on one product line.